GMS WEEKLY

Your Source for Recycling News

February 4th, 2022
Volume 234, Issue 1017
Week 5

Highlights:

- **Holidays ending.**
- **Markets firing.**
- **Cash Buyer hunger.**
- **Steel surge.**
- **Tankers sold.**

QUOTE of the WEEK

"Setting goals is the first step in turning the invisible into the visible."

– *Tony Robbins*

MARKET COMMENTARY

SPRING IN STEP!

Chinese (Lunar) New Year holidays concluded this week and there appears to be a real spring in the step of industry players, as international ship recycling markets continue to push on once again.

Both, Pakistan and Bangladesh, have been at the forefront of this recent resurgence, with an improved India (that is still unable to compete on any regular / non-HKC / non-specialist tonnage) and a relatively stable Turkey that has defied explanation for the most part with its remarkably firm / stable levels (especially in light of the collapsing Lira) and even a noteworthy improvement in import steel registering this week.

Sub-continent prices have managed to surge past USD 650/LT LDT on certain select units once again - such is the hunger of Cash Buyers and sub-continent Recyclers alike - just to secure a piece of the dwindling shortage of tonnage at present.

Steel plate prices across the board have been a key driver to the spectacular showings of late, as construction / infrastructure projects ramp up once again, with the worst of Convid-19 and its associated lockdowns and restrictions, seemingly easing of late.

Regrettably, the number of the comparatively less dangerous Omicron cases are on the rise globally even though the combination of vaccines and boosters appear to be (temporarily?) keeping the worst of it at bay – at least until news of another mutation invariably surfaces.

On the sales front, there was news of one 2002 built VLCC and another large LDT Aframax tanker sale to report this week, as opportunistic Owners returning from holidays seek to cash in at these admittedly fantastic levels, amidst continuing poor tanker charter rates.

For week 5 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Improving	620 / LDT	630 / LDT	640 / LDT
2	Pakistan	Improving	610 / LDT	620 / LDT	630 / LDT
3	India	Improving	590 / LDT	600 / LDT	610 / LDT
4	Turkey	Steady	330 / LDT	340 / LDT	350 / LDT

BANGLADESH

TIGERISH LEVELS!

Roaring back.

As we chime in the Year of the Tiger, Bangladesh has come roaring back to the fore, displaying the most aggressive levels on show and in the process, even securing a deal or two.

Chattogram Buyers are getting increasingly hungry, with plots due to be filled and L/C limits to satisfy. As such, so some of the buying that is going on, occasionally surges above what is the reality on the ground.

Afra sold.

Local steel plate prices (firming nearly USD 10/Ton this week) have certainly added to the flair of an increased local desire to bid on tonnage, boosting Cash Buyer eagerness on the prices they were eager to table this week.

One of the tanker sales for the week saw the 2003 Korean built and controlled by BULL of Indonesia Aframax unit PETROGARUDA (19,105 LDT) committed for a fantastic USD 650/LT LDT.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
PETROGARUDA	Tanker	19,105	USD 650/LT LDT

INDIA

BUDGET AID!

India unfortunately remains stranded on the side-lines for yet another week, such has been the energy displayed by the rampant Bangladesh and Pakistan markets over the past couple of weeks or so.

Side-lined.

The Indian budget was also announced this week and there is reportedly no material impact on the domestic ship recycling sector, rather, a positive impact is anticipated as government spending has reportedly been increased on infrastructure and defence.

The Rupee too has firmed marginally, trading in the mid Rs. 74 against the U.S. Dollar, whilst local steel plate prices have increased by nearly USD 11/Ton over the course of the week, leaving the Alang market positively poised as the industry heads into February.

Steel increase.

NO MARKET SALES REPORTED

PAKISTAN

VA VA VOOM!

Stunning sale.

A stunning week in Pakistan led to some increasingly speculative offerings on various vessels this week, and even saw one VLCC reportedly concluded at well above market levels.

The Polemis controlled 2002 built NEW INSPIRATION (40,737 LDT) was finalised for an extraordinary price in the region of USD 660/LT LDT, gas free for hot works clean for delivery Gadani – as one over exuberant Cash Buyer seems ready to speculate on further upward movements in price, as this level is certainly not reflective of today's prices.

Sign of things to come?

With demand remaining rife across much of Gadani, the hope is that this particular sale may spur owners into introduce / conclude more vessels into the red hot sub-continent recycling markets in the weeks / months to come.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
NEW INSPIRATION	VLCC	40,737	USD 660/LT LDT

TURKEY

ON THE RISE?

Although the Turkish market has been sailing through a period of sluggishness (despite having some of the strongest levels on offer for tonnage), market demand remains steady and levels remain firm.

Sluggish.

Despite the Turkish Lira coasting through some record lows (currently in the mid TRY 13.5X against the U.S. Dollar at the time of writing), import and local steel prices have remained relatively steady, delivering the necessary confidence to local Recyclers to maintain their current levels.

USD 400/Ton?

In fact, import steel has reportedly improved by a whopping USD 20/Ton this week and such an improvement on the back of stable prices is certain to bring further increases in local offerings.

Is USD 400/Ton the new frontier for Turkey?

Certainly, seems a possibility given that the Winter months are currently restricting movements of most undertow units through EU waters and with no major market tonnage being introduced for sale or any noteworthy sales to report, Aliaga Buyers are dwindling through previous deliveries at local plots and an eagerness to compete certainly appears evident, especially for post Q1 deliveries.

NO MARKET SALES REPORTED

AMAZING FACTS

- *The origin of the word "sinister" reflects a historical bias against left-handed people. It comes from the Latin word for "left," which was also seen to be unlucky or evil.*
- *There is not one letter "q" in any US state name, the only letter in the alphabet to be missing. "J" and "z" are only represented once each, in New Jersey and Arizona.*
- *The word "strengths" is the longest word in the English language with only one vowel.*
- *Cartoonist Mort Walker, creator of Beetle Bailey, came up with names for the things we often see in comics and cartoons: "briffit" is the dust cloud a character makes when he runs away quickly; "plewds" are the beads of sweat when a character is under duress; and "grawlix" are symbols such as "#@*%" that stand in for curse words.*
- *A mash-up of two words to make a new word (such as breakfast and lunch into brunch, or motel from motor and hotel) is called a portmanteau. In case you're wondering, the word "portmanteau" itself is not a portmanteau; it's a compound word that refers to a duel-sided suitcase.*
- *The dog ate John Steinbeck's homework—literally. The author's pup chewed up an early version of Of Mice and Men. "I was pretty mad, but the poor fellow may have been acting critically," he wrote.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
February 05 – Vasant Panchami.	February 15 – February 22 February 28 – March 06

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
February 21 – Shaheed Day	February 01 – February 04 February 18 – February 21

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
February 01 – 04 – Spring Festival	February 05 – Kashmir Solidarity Day	**No holidays in February.**

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ALANG - Port Position as of February 04, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Dynamic Explorer	3,588	Fishing Vessel	Arrived January 31
2	Glier	1,806	Chemical Tanker	Arrived January 28
3	Haren (Under Tow)	1,713	Fishing Vessel	Arrived January 31
4	**Harriet**	**2,292**	**Tanker**	**Arrived December 09**
5	*Installer*	*5,525*	*Supply Vessel*	*Beached February 02*
6	*Prosperity*	*5,314*	*Chemical Tanker*	*Beached February 04*
7	*Saehan Chemstar*	*2,518*	*Chemical Tanker*	*Beached January 30*
Total Tonnage		**22,755**		

CHATTOGRAM - Port Position as of February 04, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ambition Journey (Under Tow)	7,904	Bulk Carrier	Arrived February 03
2	*Bumble Bee 3 (Under Tow)*	*711*	*Hopper Barge*	*Beached February 01*
3	*C Fortune*	*5,744*	*Tanker*	*Beached February 02*
4	*Indoia*	*9,420*	*Tanker*	*Beached February 01*
5	*Jenga*	*39,613*	*Ore Carrier*	*Beached February 03*
6	*Ocean Mighty*	*435*	*Tug*	*Beached January 30*
7	*Ravi*	*2,084*	*Tug*	*Beached February 02*
8	V.L. 10	1,215	Tanker	Arrived February 03
9	*Y6*	*8,243*	*Bulk Carrier*	*Beached February 03*
Total Tonnage		**75,367**		

GADANI - Port Position as of February 04, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	DB Global 1	1,563.00	Barge	Arrived February 01
2	*Garin*	*9,597.00*	*Tanker*	*Beached February 03*
3	Jicore 9	468.00	Tug	Arrived February 01
4	*Oriental Dragon*	*10,300.00*	*Passenger*	*Beached February 02*
Total Tonnage		**21,928**		

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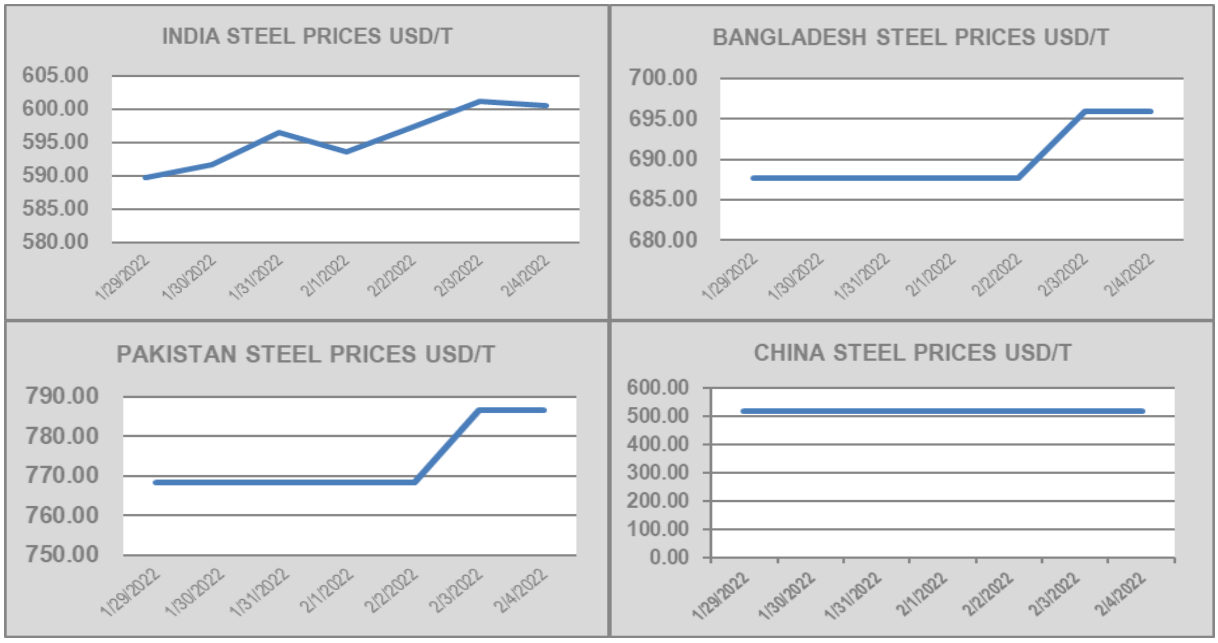
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
1/29/2022	589.73	44,000.00	768.37	137,000.00	687.72	58,800.00	519.03
1/30/2022	591.68	44,400.00	768.37	137,000.00	687.72	58,800.00	519.03
1/31/2022	596.43	44,500.00	768.37	137,000.00	687.72	58,800.00	519.03
2/1/2022	593.66	44,400.00	768.37	137,000.00	687.72	58,800.00	519.03
2/2/2022	597.27	44,700.00	768.37	137,000.00	687.72	58,800.00	519.03
2/3/2022	601.12	45,000.00	786.72	137,000.00	695.91	59,500.00	519.03
2/4/2022	600.51	44,900.00	786.72	137,000.00	695.91	59,500.00	519.03



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